

YES BANK FASTEST GROWING SMALL BANK

Among the small banks, YES Bank comes in at No 2. It has beaten other relatively young banks to emerge as the fastest growing bank. Of course, the fact that YES Bank has a smaller balance sheet (Rs 11,103 crore) than say Centurion (Rs 18,483 crore) or Kotak (Rs 19,915 crore) helps, but there's no denying that Rana Kapoor-founded YES Bank is not just clipping, but also well differentiated in the industry. "We have clearly positioned ourselves differently from the rest. We have adopted a knowledge-driven approach that goes beyond the traditional realm of banking," says Managing Director & CEO Kapoor, referring to the bank's diversified portfolio which has specific focus on sunrise sectors such as food and agriculture, biotechnology, life sciences, and infrastructure. YES Bank is also moving deeper into financial services in areas such as investment banking, asset reconstruction, asset management and also private equity.

by Anand Adhikari

AXIS BANK FASTEST GROWING BIG BANK

What would you call a bank that has grown its profits at 30 per cent or more in 28 of the last 30 quarters? At the least, a consistent performer. But what has earned P.J. Nayak-led Axis Bank its distinction as the fastest growing big bank is its equally impressive growth in other areas such as deposits, loans and advances. Overall ranked No 5, Axis has grown at a five-year CAGR of 38 per cent. "We want to be known as an Asian bank," says Nayak, chairman and managing director. "In the last year and a half, our overseas operations have accounted for 7-8 per cent of our business, which will account for 15-20 per cent in the next couple of years." The bank has branches in Singapore, Dubai and Hong Kong, with a representative office in Shanghai. In the domestic market, the growth strategy is to diversify capital market operations and grow inorganically as and when opportunities arise. "Apart from normal banking operation (including core banking and non-interest income), we would like to take advantage of the strong capital market by venturing into private equity, broking, asset management and insurance businesses," says Nayak. The only hitch: Nayak is due to retire mid-2009.



P.J. NAYAK

by Mahesh Nayak

FEDERAL BANK THE MOST EFFICIENT BIG BANK



M. VENUGOPALAN

Our strength is technology coupled with human touch," says Federal Bank Chairman and Managing Director M. Venugopalan. The bank has been consistently profitable. "We do not go for blind volume growth. The increase in our cost of deposits is among the lowest, while our rate of yield on advances is high. This has protected our net interest margin and ensured steady increase in profits," explains Venugopalan. Federal Bank is among the first traditional banks to use IT to the hilt. According to Venugopalan, his bank follows an aggressive provision policy to keep its balance sheet insulated from future shocks. The bank is also active in distribution of third-party mutual funds, and life and non-life insurance products that fetch its fee-based income.

by K.R. Balasubramanyam

A study of the growth in advances versus ROA reveals that while most banks have shown growth over the last two-to-three years, this has not necessarily translated into improved returns for stakeholders.

Banks that are able to realign their business and operating models in terms of distribution reach, competitive and value-added product offerings and differentiated customer services are likely to be successful in protecting their turfs. These banks are likely to achieve healthy growth, in terms of composition of income (fee income versus fund-based income), and improved returns—ROA; ROCE; and ROE.

To meet the challenge emerging from the convergence in the financial services sector, banks will have to:

- Segregate their competencies—manufacturing (product development), operations and distribution.
- Forge alliances to build competencies in each of the aforesaid areas based on their relative strengths.

MANAGEMENT OF LIABILITIES

Management of liabilities is a critical driver of growth. Banks that are able to attract low-cost deposits and maintain overall lower cost of borrowings will have the flexibility to define their asset books and, thereby attract new customers. A study of the gains or losses in market share of low-cost borrowings reveals that private banks are gaining incremental market share at the expense of PSBs.

The ability to attract low-cost deposits and maintain market share will no longer be determined by size or reach in terms of number of branches. The ability to attract low-cost deposits, in future, will be increasingly determined by the ability to offer value-added services such as:

- Life-cycle and diversified investment options in terms of asset classes ranging from mutual funds, realty, commodity, bullion, etc.